

2026 VC Trends That Could Make or Break Startups



Methodology

Reports are written in accordance with standard [PitchBook report methodologies](#) unless otherwise noted. Companies are categorized based on their HQ locations within a metropolitan statistical area (MSA) as defined by the US Office of Management and Budget:

- **The New York MSA (“New York”)** includes the New York-New Jersey-Pennsylvania areas.
- **The Boston MSA (“Boston”)** includes the Boston-Cambridge-Newton area.
- **The Bay Area MSA (“Bay Area”)** is a combination of the San Francisco MSA (San Francisco-Oakland-Fremont) and the San Jose combined statistical area (San Jose-San Francisco-Oakland).

“**Midstage**” refers to companies that have raised either a Series B or a Series C round of financing.

Fund manager experience levels are determined by the number of funds launched. Emerging fund managers have launched fewer than four funds. Established, or experienced, fund managers have opened four or more funds.

VC-backed exits refer to VC-backed companies that have undergone acquisition, leveraged buyout, or public listing transactions.

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Executive summary

Market dynamics shift rapidly in response to ever-evolving business cycles, macroeconomic conditions, and technological innovation. These dynamics shape not only the US venture ecosystem but how founders inform their next business decision, from raising capital, extending cash runways, or completing an exit. In Fidelity's second annual report on US venture trends across major US ecosystems—the Bay Area, New York, and Boston—this edition characterizes the headline-grabbing trends that have materially shaped founder decision-making in 2025 and translates these insights into actionable steps for founders in 2026 and beyond.

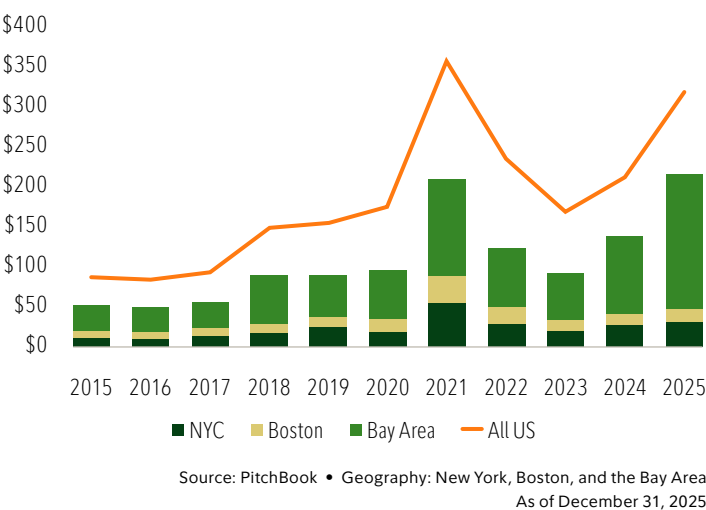
There were four themes that defined the US venture market in 2025. First, economic uncertainties and equity market dynamics structurally transformed the fundraising and dealmaking landscape, leading to challenged fund economics and a fourth consecutive year of dealmaking volume declines. The second theme, capital concentration along sectoral and geographical lines, has unsurprisingly favored Silicon Valley's AI innovators while expanding the amount of VC capital invested in the US. While not mutually exclusive from the first two themes, bifurcations in valuations between AI leaders and laggards is an ongoing but ever-salient trend that is likely to continue to shape the direction and scale

of US venture funding. Fourth, liquidity constraints showed signs of easing by the end of 2025 due to strengthened strategic acquisition and sponsored LBO deals, while a third more lucrative exit pathway—public listings—is showing promising tailwinds heading into 2026.

These four themes have not only shaped 2025 VC capital flows and investment strategies but also allude to what trends will unfold in 2026. Looking ahead, US founders, especially those in the major venture hubs, should expect fund economics to begin its correction course as AI-driven exits drive liquidity events, and expected rate cuts support lending activity and strengthen acquisition and buyout dealmaking momentum. Exit pathways are likely to look more favorable for founders in the year ahead, but exit strategies and valuation expectations should be measured, as these tailwinds have favored AI companies. Just as there are opportunities, founders should remain cautious of growing industry concerns around an AI bubble and borrower distress. Nonetheless, as the market environment improves in 2026, founders can look beyond extending their runways and strategize on their next financing or exit. A critical part of the preparation process will be prioritizing startup fundamentals, like balance sheet health and product-market fit.

Market analysis

VC deal value (\$B) by MSA

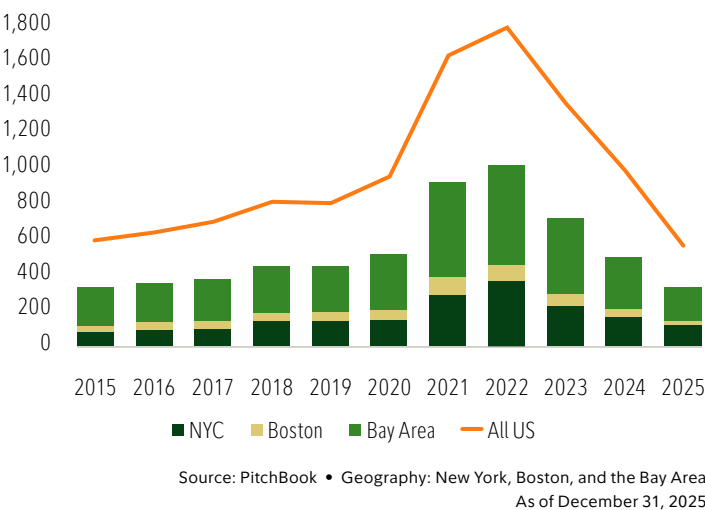


Structural transformations: Why 2025 slowed—and why 2026 could look different

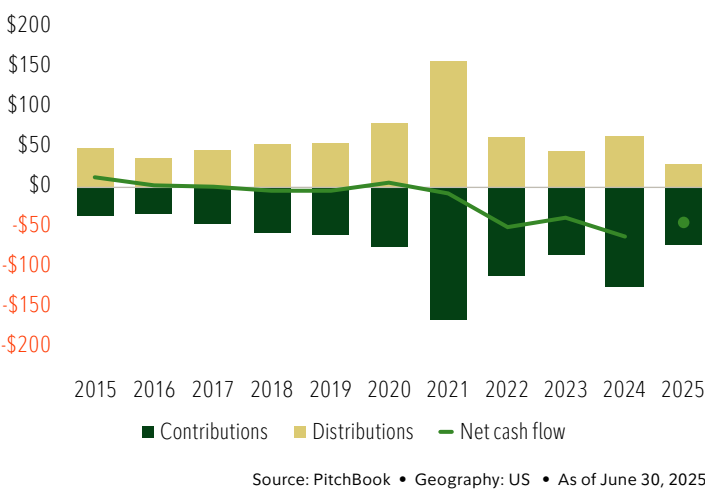
2025 was neither smooth nor a year that flew by quickly. “Liberation Day” tariffs caused one of the steepest market sell-offs since the pandemic. NVIDIA became the first \$5 trillion-dollar company, and the highly anticipated listings of CoreWeave, Figma, Circle, Chime, Klarna, and other headliner companies were completed. Additionally, Big Tech saw significant sell-offs toward the end of the year amid Wall Street’s fears over AI overspend, and the Federal Reserve eased interest rates over four consecutive meetings. Amid these transformational market events, the volume of US VC deals closed in 2025 was lukewarm at 14,848, compared with 15,253 the prior year. In venture markets, structural transformations in fundraising and dealmaking explain why 2025 was a slower year and why 2026 will be different.

Fundraising and dealmaking are two sides of the same coin, and that coin represents fund economics. LP distributions were constrained for a fifth consecutive year. US VC net cash flows—a ratio of fund contributions to distributions—showed a deficit of \$45 billion, meaning LPs have yet to see meaningful returns on their investments. The lack of capital recycling materialized in some of the slowest US fundraising activity (558 funds closed and \$66.5 billion

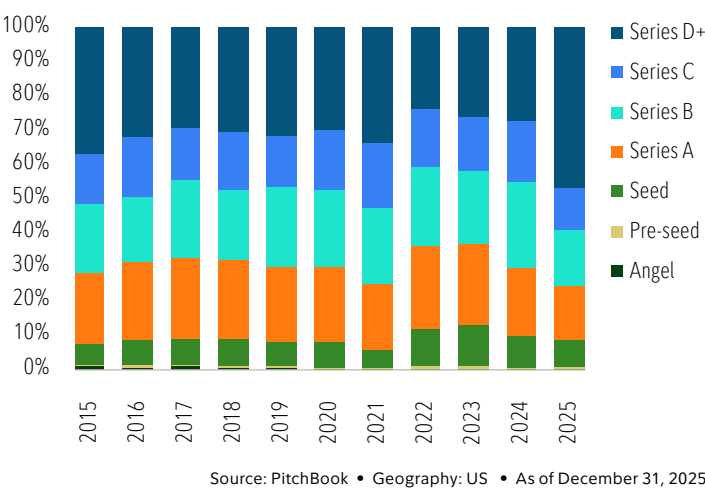
VC fund count by MSA



VC cash flows (\$B)



Share of VC deal value by series



raised) seen in a decade. Consequently, 2026 capital deployment will be driven by 2022-2024 vintage dry powder that was raised before LP overallocation to private markets was corrected, amid higher rates and a slower exit environment that delayed deployment.

Fund managers continue to be selective, closing fewer deals but concentrating their bets on a handful of mature companies. This drove aggregate US deal value (\$319.3 billion) to a high not seen since 2021 (\$358.2 billion), and both median and average US VC deal sizes reached unprecedented highs. Notably, this capital has become exceedingly concentrated around the Series D+ stages.

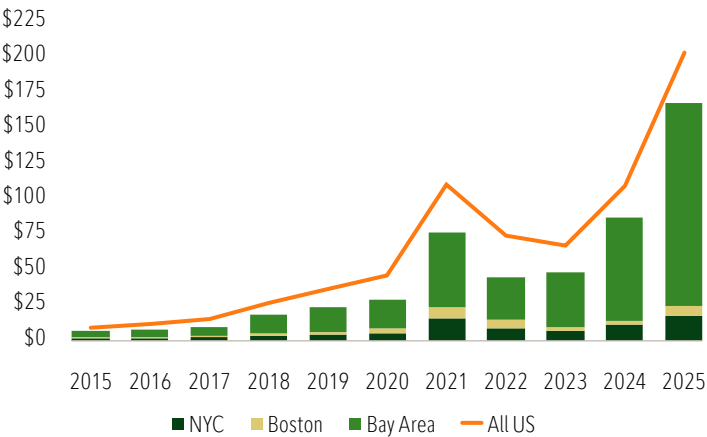
In 2026, rumored IPOs of high-profile companies, such as OpenAI, Anthropic, and Databricks, could mark a turning point for fund economics. If these listings materialize and deliver strong post-IPO performance, tech founders would shift from price-takers to price-setters as public-market outcomes reset valuation expectations. While a small cohort of successful IPOs would not immediately restart the fundraising flywheel, renewed liquidity would be a critical first step toward restoring institutional confidence, delivering returns to LPs and breaking the cycle of companies staying private for longer.

To date, robust secondaries activity has provided alternative liquidity for fund managers,¹ but a reopening of the IPO market would signal a healthy exit ecosystem. Even as fund economics improve, concentrated bets—reflected in growing fund and check sizes at the margins—will continue to define US venture dealmaking as the AI cycle matures. These dynamics reflect investor priorities in hindsight while offering founders foresight to position for what is next, particularly those building high-growth, defensible AI businesses.

Market concentration: Uneven venture recovery in an AI-led market

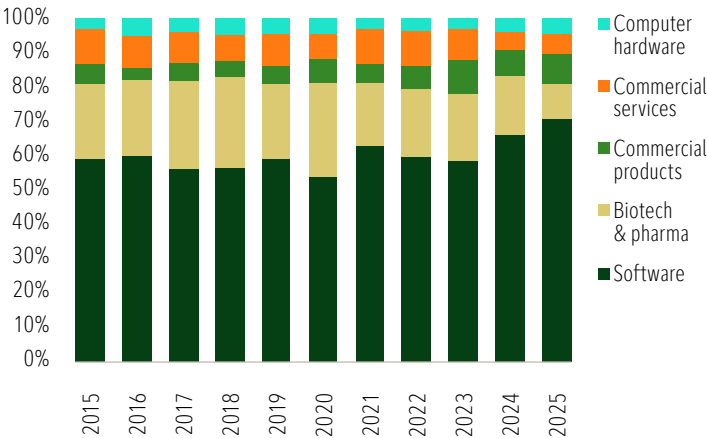
The AI-driven technological revolution was one of the core drivers of structural evolutions in fundraising and dealmaking dynamics—especially

AI VC deal value (\$B) by MSA



Source: PitchBook • Geography: US • As of December 31, 2025

Share of VC deal value by top five industries



Source: PitchBook • Geography: US • As of December 31, 2025

capital concentration—and it has had an even more profound impact on the levels of market concentration seen in the Bay Area and AI technologies, which are not mutually exclusive trends. Taking into context broader US dealmaking declines, venture activity across sectors and the three largest US venture hubs were uneven.

As news headlines would suggest, AI dominated US venture funding trend lines in 2025, and this momentum is not expected to slow down going into 2026. Expectedly, the Bay Area was responsible for the US' AI-driven dealmaking frenzy in 2025, where 71% of capital raised and 34% of deal volumes in the city were in AI companies, while contributing to 53% of US VC financings. In contrast, ecosystems like New York and Boston saw slower activity. It is evident

1: "Q3 2025 US VC Secondary Market Watch," PitchBook, Emily Zheng, November 14, 2025.

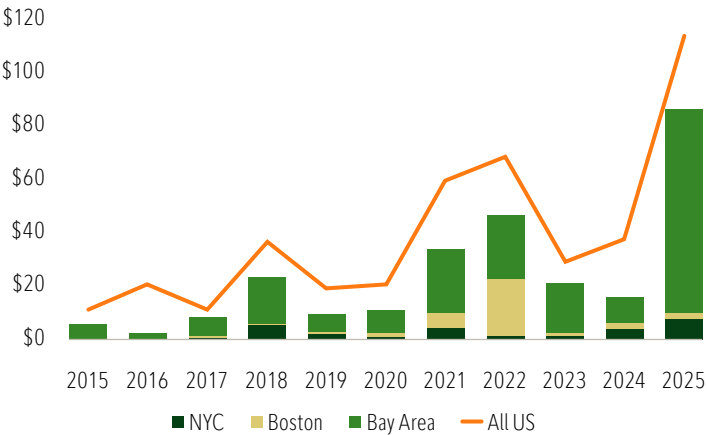
that the scale of capital deployment defined capital concentration along sectoral lines.

By the end of 2025, the Silicon Valley effect—the spillover of Bay Area AI investment shaping venture activity nationwide—permeated most US hubs. Software dominated funding across the country, with sector share reaching record highs in the Bay Area (88.4%) and New York (70.9%). It is no coincidence that most venture hubs move in tandem with the Bay Area. The region raised one-third of US funds closed and over half of total capital, giving it material influence over US sectoral focuses and check sizes as a hub of entrepreneurs and investors.

AI was the clearest expression of this influence, widening AI and non-AI deal size premiums and increasing market concentration. 2025 saw the largest gap between average deal sizes of AI (\$51 million) and non-AI (\$4.7 million) deals—a 10.9x difference compared with 8.4x in 2024. Bay Area AI startups commanded 11.4x deal size premiums, while New York and Boston saw premiums of 4x or more. These disparities were reinforced by megafund formation, where Bay Area managers raised eight of the 11 US \$1 billion+ funds in 2025, totaling \$17.6 billion, or a quarter of all US VC capital raised. Healthcare powerhouse Boston was an exception, raising the majority of its capital (\$6.6 billion) in the biotech & pharma sector, reflecting the region’s deep academic research base, hospital networks, and long-standing specialization in capital-intensive life sciences rather than software-led scaling dynamics.

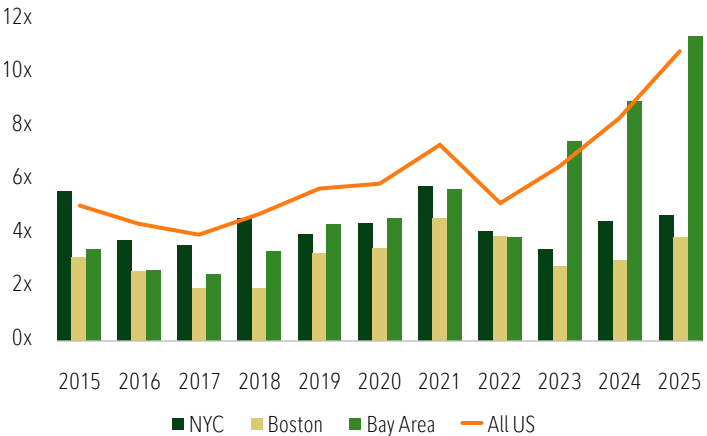
AI is increasingly viewed as the market’s primary value driver, accelerating concentration within the sector. US AI M&A surged to 647 deals totaling \$113.7 billion, with acquisition velocity outpacing formation: For every 85 AI startups receiving initial VC funding, 100 were acquired. This concentration around AI and Silicon Valley is expected to intensify in 2026 as focus shifts from model development and infrastructure build-out to broad industry integration. Midstage founders should think about positioning themselves ahead of the curve by building durable advantages in areas AI cannot replace and enabling this next phase of the transition.

AI M&A value (\$B) by MSA



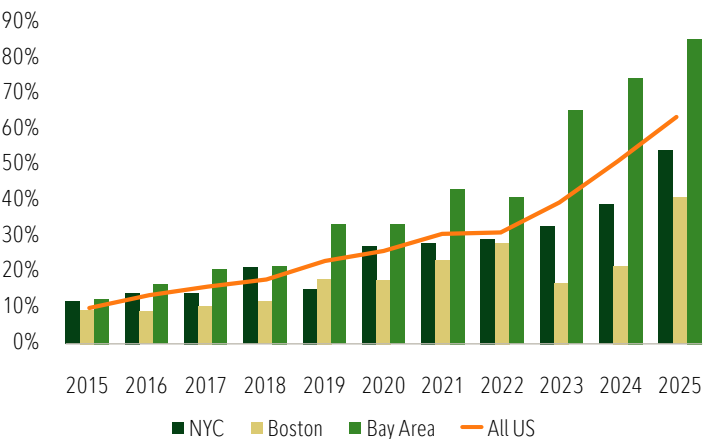
Source: PitchBook • Geography: New York, Boston, and the Bay Area
As of December 31, 2025

Average AI VC deal value premium by MSA



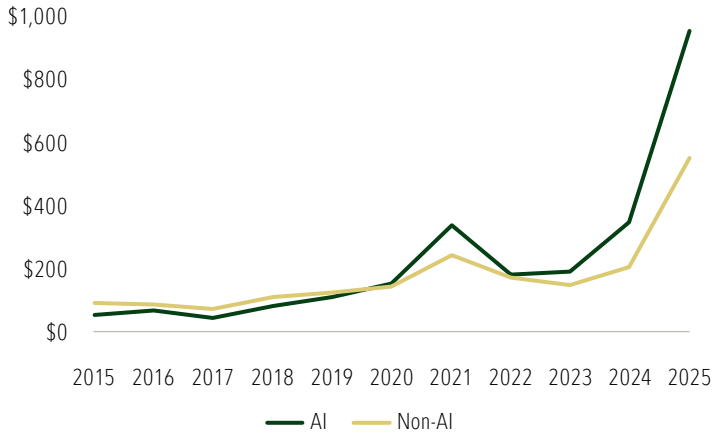
Source: PitchBook • Geography: New York, Boston, and the Bay Area
As of December 31, 2025

AI VC ratio of first-time financing counts to M&A counts



Source: PitchBook • Geography: New York, Boston, and the Bay Area
As of December 31, 2025

Average VC pre-money valuation (\$M) by company type



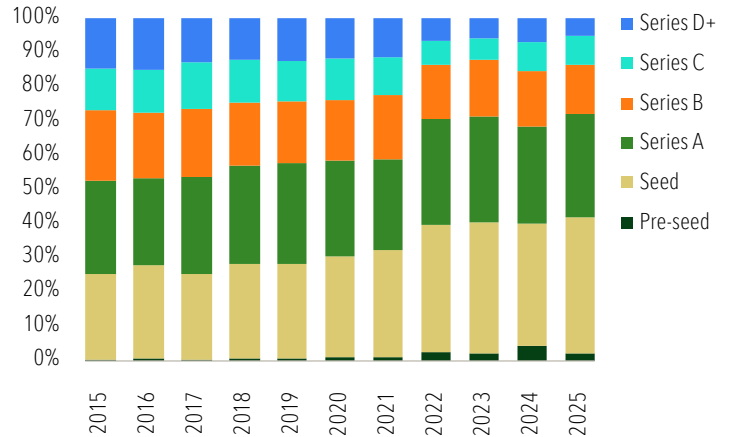
Source: PitchBook • Geography: US • As of December 31, 2025

Valuation bifurcation: Valuations diverge between AI havens and have-nots

As structural pressures—most notably weak distributions—continue to weigh on fund economics and suppress broader VC dealmaking volumes, valuation bifurcation has emerged as a defining feature of the US venture market. Alongside uneven market concentration in Silicon Valley’s AI ecosystem, this divergence is a critical signal for founders assessing their own valuation potential ahead of future financings or exits and whether those expectations align with where the market is headed. That said, scale alone is no longer synonymous with strength—particularly in AI, where growing concerns around a potential bubble suggest valuation expectations must be calibrated differently across AI and non-AI sectors.

In 2025, extended private-market timelines and AI-driven enthusiasm widened valuation gaps, concentrating capital among the largest companies. Venture growth accounted for 40.8% of US VC investment despite only making up 6.1% of deal volume—a dynamic underscored by AI company OpenEvidence’s \$250 million financing that doubled its valuation to \$12 billion in three months. While seed and Series A stages also saw meaningful increases in capital deployed from 2024 to 2025, these gains were modest relative to the outsized inflows captured by venture-growth companies. In contrast, midstage companies—those raising Series B and C rounds—largely missed the AI-driven

Share of VC round counts where next stage is an exit by series



Source: PitchBook • Geography: US • As of December 31, 2025

funding surge, with both deal volume and capital invested plateauing YoY.

AI has fundamentally reset expectations around how quickly early-stage, and even pre-product, companies can scale and generate value. By lowering manpower and infrastructure requirements, AI has reduced barriers to entry and accelerated early growth, enabling startups to reach key milestones and valuation inflection points far faster than in prior cycles. With 10% week-over-week growth now commonplace, exit velocity has increased accordingly, with 588 VC-backed seed and early-stage companies acquired in 2025. This agility has widened the gap between early- and midstage companies, resulting in midstage firms facing higher burn, greater operational complexity, and mounting pressure to define near-term liquidity paths.

At the same time, capital allocation patterns have reinforced this bifurcation. In 2025, experienced US managers raised \$49.1 billion, more than double the capital of emerging managers (\$17.4 billion), funneling a disproportionate share of VC capital toward mature venture-growth companies. These businesses have larger capital needs but are also closer to potential exits—enticing for fund managers under pressure to generate distributions for LPs.

Together, these forces have created a market where valuation outcomes are increasingly polarized, rewarding scale, speed, and proximity to liquidity—leaving midstage founders navigating a narrower path forward.

Liquidity outcomes: Exit strategy in the next liquidity cycle

The last—and arguably most consequential—theme shaping fundraising and dealmaking in 2026 is liquidity. For midstage founders, where and how liquidity emerges will increasingly determine not just exit timing but strategic exit optionality and alternative pathways such as secondaries. After several years of constrained exits and delayed distributions, the US venture ecosystem is entering a period where liquidity conditions are materially improving, reshaping founder expectations and decision-making.

US VC exit activity rebounded meaningfully in 2025 (1,436 exits and \$301.6 billion in value) from 2024 levels (1,276 exits and \$154.7 billion in value). Exit recoveries were most pronounced in the Bay Area and New York, while Boston lagged, reflecting continued sectoral divergence. This resurgence—driven primarily by acquisitions and leveraged buyouts—has already begun injecting much-needed liquidity back into the fundraising ecosystem. Looking ahead, headliner IPOs could mark a turning point for fund economics in 2026, restoring LP confidence and reopening public-market pathways for the most mature, scaled companies.

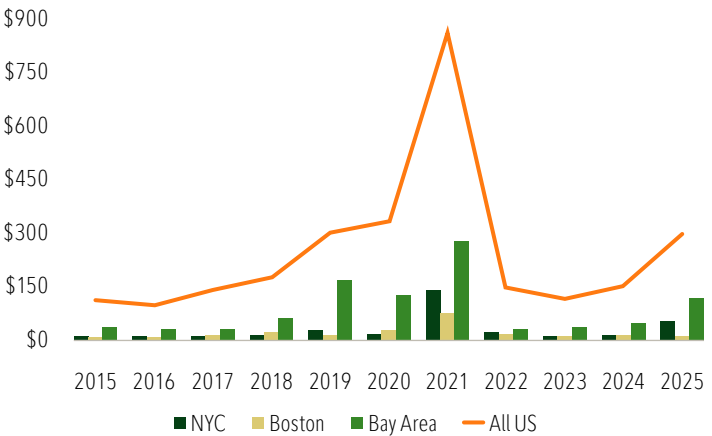
Beyond IPOs, acquisitions and buyouts are expected to remain the dominant liquidity engines.

Market-concentrating activity has intensified alongside the AI revolution, with US AI M&A reaching a record 647 transactions in 2025, up from 420 in 2024. Total US M&A value ballooned to \$2.1 trillion, compared with \$1.7 trillion the year prior, as Wall Street expanded M&A teams in anticipation of sustained deal flow. To date, 150 VC-backed US companies representing \$71.7 billion in value have announced or are preparing for exits.

Wiz’s pending \$32 billion acquisition by Alphabet underscores how AI is reshaping exit decisions. After initially pursuing an IPO and rejecting a \$23 billion offer in 2024, Wiz reversed course as valuation expectations reset and strategic scale advantages outweighed public-market uncertainty. The deal, priced at an estimated 32x forward revenue, highlights how AI-driven software companies are achieving superior exit outcomes relative to other sectors.

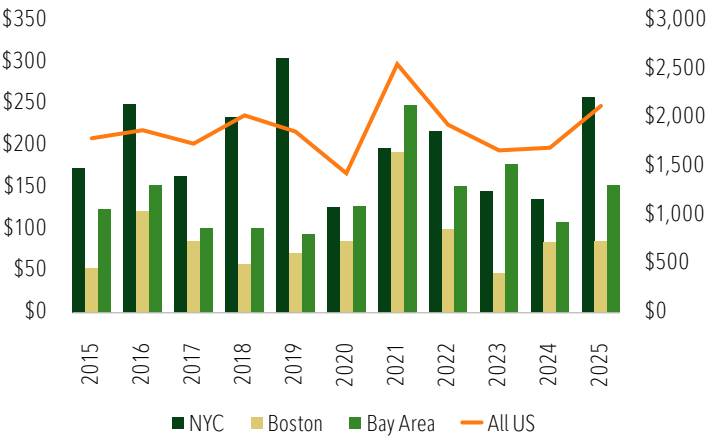
For midstage founders, these dynamics point to a more favorable liquidity environment in 2026, but one that remains highly selective. AI-native software as a service (SaaS) and AI-adjacent platforms are best positioned, while exit strategy must remain tightly aligned with sector, scale, and capital intensity. As liquidity momentum strengthens, founders can plan with greater confidence—but success is influenced by choosing the right exit path at the right time in a market still defined by concentration rather than broad-based recovery.

VC exit value (\$B) by MSA



Source: PitchBook • Geography: New York, Boston, and the Bay Area
As of December 31, 2025

M&A value (\$B) by MSA



Source: PitchBook • Geography: New York, Boston, and the Bay Area
As of December 31, 2025



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Matt Derda leads Product Marketing for Fidelity Private Shares, Fidelity's equity management platform for private companies. He works closely with founders, finance leaders, and investors to help companies

better understand and manage ownership, prepare for fundraising, and navigate liquidity events with greater clarity and confidence.

Throughout his career, Matt has built and led marketing functions at high-growth SaaS companies, supporting them through multiple stages of fundraising, operational scaling, and acquisition. His work has centered on simplifying complex financial and technical products, aligning go-to-market strategy with investor expectations, and helping leadership teams communicate clearly in moments that matter.

His perspectives below are informed by the data in this report and reflect his opinions from working with founders and finance leaders in the private markets.

Why is liquidity becoming a more important topic for founders and employees as companies stay private longer?

As companies stay private longer, equity has shifted from a near-term event to a long-term asset. What used to be a five-year path to liquidity is now often 10 years or more, which changes how equity is experienced by employees, founders, and investors.

For employees, equity only works as compensation if there is a believable path to value. Without that, equity can lose its effectiveness as a retention tool over time. For founders, this often becomes an operational issue, not just a financial one, especially as senior talent weighs real-life needs against long-term uncertainty.

Liquidity planning doesn't replace exits, but it has become part of responsible company management. Founders don't need to promise outcomes, but they likely do need to acknowledge that long private timelines require more thoughtful approaches to equity.

How should founders think about secondary liquidity without losing control?

Secondary liquidity typically works best when it is intentional and limited. When structured thoughtfully, it can support early stakeholders without changing the company's strategy or ownership dynamics.

The bigger risk is unplanned liquidity. Ad hoc secondary transactions can create confusion around valuation, signaling, and governance. In contrast, company-supported or well-governed programs help maintain alignment while offering modest flexibility to employees or early investors.

Secondaries are not an exit strategy. They are a complement to one. Founders who think about liquidity early tend to preserve more control and avoid rushed decisions later.

What does valuation bifurcation mean for founders outside of AI?

Valuation bifurcation reflects a more selective market, not a lack of opportunity. AI companies captured a disproportionate share of capital, but strong non-AI businesses are still being funded and acquired.

For founders outside AI, investors are placing more weight on fundamentals like capital efficiency, customer durability, regulatory alignment, and realistic paths to liquidity. Valuations increasingly reflect longer timelines and more measured growth expectations.

In my opinion, the key takeaway is that valuation is an outcome, not a strategy. Companies that focus on building durable businesses tend to retain more flexibility across fundraising, M&A, and other liquidity paths.

How should founders approach fundraising when capital is more concentrated?

Fundraising today usually rewards clarity over speed. Investors are writing fewer checks but spending more time with companies that demonstrate discipline and a clear plan for deploying capital. Maturity is now expected much earlier in a company's life cycle.

Clean governance also matters more than it used to. Clear financials and well-maintained equity records help reduce friction during diligence and signal operational maturity.

How is the current market changing how employees view equity?

Employees seem more informed and cautious about equity than in past cycles. Longer private timelines have made trade-offs around exercise timing, taxes, and liquidity harder to ignore.

What often creates frustration is uncertainty. When employees don't understand what their equity represents or how it fits into the company's plans, trust erodes over time.

Companies that communicate clearly, even when outcomes are uncertain, tend to maintain stronger alignment. Equity doesn't need guarantees, but it does benefit from transparency.

What equity mistakes do founders make as companies scale privately?

A common mistake I see is treating equity as something to set once and revisit later. As companies grow, equity structures naturally become more complex and ignoring that complexity can create problems down the line.

Another potential issue is waiting until a transaction is imminent to clean things up. Fixing gaps in ownership records or documentation under pressure normally increases cost and risk during fundraising or exits.

Early decisions around SAFEs, option plans, and secondary policies also shape future flexibility. Companies that revisit equity strategy periodically are typically better prepared as they scale.

With IPOs showing signs of reopening, how should founders think about exits?

Public markets may be becoming more receptive to new listings; however, IPO opportunities are likely to remain limited to a select few companies. Most successful listings favor scale, predictability, and operational maturity.

For many founders, acquisitions and buyouts will likely remain the most common exit paths. The key is not timing the market but being ready when opportunities arise.

In my experience, exit planning today is less about forecasting windows and more about building companies that can perform across different scenarios.

What does a "good" outcome look like in the next liquidity cycle?

A good outcome isn't always about the biggest number. At its core, it's an outcome where founders, employees, and investors all make money. Sometimes that means a major IPO; other times it's a strategic acquisition or even a smaller but clean exit.

That often means liquidity that reflects the company's real operating strength rather than peak-cycle expectations. Outcomes that reward long-term contributors and preserve reputation can be highly successful even without headline-grabbing numbers.

In this market, success comes from readiness and discipline, not perfection.

The statements and opinions expressed in this section are those of the author. Fidelity cannot guarantee the accuracy or completeness of any statements or data.

Outlook

As founders look at what comes next, 2026 will likely rhyme with 2025 but will have the potential to be a differentiated year for venture dealmaking and exits, particularly if greater policy clarity and stability emerge. Against this backdrop, three developments tied to the defining themes of 2025 will continue to shape investor appetite and founder strategy in the year ahead.

First, the AI revolution has already reallocated capital from other sectors toward the software industry, intensifying concerns over an AI bubble fueled by leverage and “spray and pray” AI investments. This trend is unlikely to lose momentum, and onus will be on founders to recalibrate expectations around valuation growth and business model defensibility. AI consulting has become a meaningful revenue driver for consulting firms as enterprises adopt AI services, with acquirers using consultants to pressure-test defensibility by attempting to recreate the products they are evaluating for acquisition.² This means founders must forge a financially sustainable path to profitability with solutions that will not become obsolete in a post-AI world.

Second, founders operating outside of AI will not be driven so much by the technological cycle as it will be by ongoing geopolitical dynamics. Heightened US-China tensions and instability across Europe, the Middle East, and Latin America have brought renewed focus to industrial manufacturing, pharmaceutical supply chains, energy, and defense technologies. Sectors tied to domestic supply chain resilience and national security are therefore positioned favorably, underscoring how political dynamics—not technological shifts alone—will continue to shape opportunities across non-AI industries.

Third, liquidity dynamics in 2026 will be shaped by a push-and-pull between historically strong secondaries activity and the potential reopening of the IPO window. Secondaries markets are more active than ever, with Goldman Sachs’, Morgan Stanley’s, and Charles Schwab’s acquisitions of secondaries trading platforms cementing conviction in the secondaries strategy as one that is here to stay. This evolution supports a market in which more mature, exit-ready companies have the option to remain private for longer, despite future exit options abound.

Financial discipline, clear product-market fit, and defensibility against AI commoditization are considered to be critical in determining founders’ ability to achieve favorable fundraising or exit outcomes. However, venture momentum remains highly sensitive to both the credit environment and policy risk. Even with anticipated rate cuts in 2026, the neutral interest rate is expected to remain at least 250 basis points above pre-pandemic levels, meaning debt repayments will continue to be stress-tested. This dynamic could weigh on acquisitions and LBO activity—the primary drivers of US liquidity—particularly as early signs of corporate borrower distress emerge. As demonstrated by the pullback in dealmaking and delayed IPO plans following tariff-related uncertainty in April, policy shifts that erode investor confidence could once again disrupt venture activity in 2026.

As all risky bets go, opportunities cannot exist without risk. However, the themes and forward-looking insights discussed in this report provide US midstage founders with a glimpse of what lies just around the corner to help them plan their next steps accordingly.

²: [“How Big Consulting Firms Profit Massively From AI Consulting,” Brainforge, Uttam Kumaran, n.d., accessed January 26, 2026.](#)



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